

# **TENTATIVE RULING(S) FOR August 10, 2026**

## **Department S37 – Judge Winston Keh**

This court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings for each law & motion will be posted on the internet (<https://www.sb-court.org>) by 3:00 p.m. on the court day immediately before the hearing.

You may appear in person at the hearing although remote appearance by CourtCall is preferred. (See [www.sb-court.org/general-information/remote-access](https://www.sb-court.org/general-information/remote-access) ).

If you do not have Internet access or if you experience difficulty with the posted tentative ruling, you may obtain the tentative ruling by calling the department (S-37) at (909) 708-8707 or the Administrative Assistant (909) 708-8756, who prepared the ruling.

**If you (or both parties) wish to submit on the Tentative, notify the other party and call the department by 4:00 pm the day before and your appearance may be excused unless the Court orders you to appear.**

You must appear at the hearing if you are so directed by the court in the tentative ruling. Be prepared to address those issues set forth by the court in its ruling.

**UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

**CIVSB2520796**

**Chase vs Bunch**

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### **TENTATIVE RULING(S):**

On July 17, 2025, Plaintiff JPMorgan Chase Bank, N.A., filed a Complaint against Defendants Local European LLC, and Alexandra N. Bunch. Plaintiff alleges causes of action for (1) breach of contract (against Local European); (2) breach of guaranty (against Bunch); (3) breach of contract (against Local European); and (4) breach of guaranty (against Bunch). The Complaint arises out of two commercial loans made to Local European.

On October 6, 2025, Defendants answered.

Before the Court is Plaintiff Chase's motion for summary judgment as to each cause of action.

Plaintiff seeks a judgment of \$378,000.70 on the loans and guaranties.

To date, Defendants have not opposed.

## ANALYSIS

### MSJ

Plaintiff notices the motion as Issue Nos. 1 and 2 going to the breach of contract causes of action against Local European, and Issues Nos. 3 and 4 going to the breach of guaranty causes of action brought against Bunch. But the separate statement has the issues in the order of the causes of action.

With respect to the loans at issue. Plaintiff alleges that on June 14, 2022, it made a loan to Local European for \$200,000 (Loan 1). On May 29, 2024, it made another loan to Local European for \$270,000 (Loan 2). (Compl. ¶¶ 8, 12.) The respective loans included respective guaranties under which Defendant Bunch agreed to pay all obligations owed under the respective loans in the event Local European failed to do so. (Compl. ¶¶ 10, 14.)

Local European failed to make the May 2025 payment on Loan 1, and failed to make the February 2025 payment on Loan 2. Demands were made on Defendants for payment. As of June 16, 2025, the amount owed on Loan 1 is \$106,687.60, which includes principal, accrued interest, and late charges. And the amount owed on Loan 2 is \$263,200.10, which includes principal, accrued interest, and late charges and fees. (Compl. ¶¶ 16-23, 31, 35, 45, 49.)

Issue No. 1 – Breach of Contract re Loan 1 as to Local European. On or about June 14, 2022, Plaintiff made a loan to Local European in the original, principal amount of \$200,000. Loan 1 is evidenced by the Term Note dated June 14, 2022, in the principal face amount of \$200,000. The loan is also evidenced by a Credit Agreement dated June 14, 2022. Under the contract, Local European was required to make monthly payments of \$3,965.33, including interest beginning on July 14, 2022. All unpaid principal and accrued and unpaid interest would be due and payable on June 14, 2027. Beginning no later than May 2025, and at all times thereafter, Local European defaulted by failing to make monthly payments as they came due. (UFs 1-6.)

Under the terms of the contract, on default, Plaintiff was entitled to declare the loan, plus accrued but unpaid interest, fees, and other costs, immediately due. On or about May 8, 2025, Plaintiff

notified Local European that there had been a default and all sums were immediately due and payable. Local European failed to pay the outstanding amounts owed. Plaintiff is the legal holder and owner of the loan documents. As of June 16, 2025, Local European was indebted to Plaintiff in the principal amount of \$103,848.41, \$2,640.92 in accrued interest, and \$198.27 in late charges. (UFs 7-11.) Local European is indebted to Plaintiff for attorneys' fees of \$7,350, and costs of \$763.00. (UF 12.)

Issue No. 2 – Breach of Guaranty re Loan 1 as to Bunch. Plaintiff Chase sets forth the same basic facts as to Loan 1's origination, agreement, and default, as set forth above. (UFs 13-15, 19-22.) Loan 1 also included a Guaranty that provided that in the event of a default by Local European, Bunch shall pay any and all amounts due Plaintiff under Loan 1. The obligations under the Guaranty for Loan 1 are joint and several. On May 8, 2025, Plaintiff notified Bunch that there had been a default and all sums were immediately due and payable. Bunch failed to pay. (UFs 16, 23-27.) The same amount is stated as owed with respect Loan 1. (UFs 28-29.) Bunch waived the right to notice of Local European's default and demand of payment by Plaintiff. (UF 30.)

Issue No. 3 – Breach of Contract Loan 2 as to Local European. On or about May 29, 2024, Plaintiff made a loan to Local European in the original, principal amount of \$270,000. Loan 2 is evidenced by the Term Note dated May 29, 2024, in the principal face amount of \$270,000. Loan 2 is also evidenced by a Credit Agreement dated May 29, 2024. Under the contract, Local European was required to make monthly payments of \$4,271.79, including interest beginning on July 1, 2024. All unpaid principal and accrued and unpaid interest would be due and payable on June 14, 2031. Beginning no later than February 2025, and at all times thereafter, Local European defaulted by failing to make monthly payments as they came due. (UFs 31-36.)

Under the terms of the contract, on default, Plaintiff is entitled to declare the loan, plus accrued but unpaid interest, fees, and other costs, immediately due. On or about April 11, 2025, Plaintiff notified Local European that there had been a default and all sums were immediately due and payable. Local European failed to pay the outstanding amounts owed. Plaintiff is the legal holder

and owner of the loan documents. As of June 16, 2025, Local European was indebted to Plaintiff in the principal amount of \$252,431.19, \$9,700.96 in accrued interest, and \$1,067.95 in late charges. (UFs 37-41.) Local European is also indebted to Plaintiff for attorneys' fees of \$7,350 and costs of \$763.00. (UF 42.)

The Small Business Administration (SBA) guaranteed Loan 2. Following Local European's default, the SBA honored the guaranty and on December 8, 2025, paid Plaintiff Chase \$129,721.97, which Plaintiff Chase applied to Loan 2. (UFs 43-44.)

Local European and Bunch are still responsible to Chase for the entire indebtedness of \$271,313.19 under the loan documents, including the amount Chase received from the SBA. (UF 45.)

Issue No. 4 – Breach of Guaranty re Loan 2 as to Bunch. Plaintiff Chase sets forth the same basic facts as to Loan 2's origination, agreement, and default as set forth above. (UFs 46-48, 52-55, 57.) Loan 2 also included a Guaranty that provided that in the event of a default by Loan European, Bunch shall pay any and all amounts due Plaintiff under Loan 2. The obligations under the Guaranty for Loan 2 are joint and several. On April 11, 2025, Plaintiff notified Bunch that there had been a default and all sums were immediately due and payable. Bunch failed to pay. (UFs 49-51, 56, 58-59.) The same amount is stated as owed with respect to the first loan, payment received by SBA, and statement that the entire amount is still owed, including the amount received from the SBA. (UFs 60-62, 64-66.) Bunch waived the right to notice of Local European's default and demand of payment by Plaintiff. (UF 63.)

Breach of Contract. A cause of action for damages for breach of contract is comprised of the following elements: (1) the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to plaintiff. (*Bushell v. JPMorgan Chase Bank, N.A.* (2013) 220 Cal.App.4th 915, 921.)

Breach of Guaranty. With respect to breach of a guaranty, a surety or guarantor is one who promises to answer for the debt, default, or miscarriage of another. (*Central Building, LLC v. Cooper* (2005) 127 Cal.App.4th 1053, 1058, citing Civ. Code, § 2787.) The guarantor's obligation rests on the contract of guaranty. (*Neiderer v. Ferreira* (1987) 189 Cal.App.3d 1485, 1505.) A

contract of guaranty provides a separate and independent obligation on the guarantor from that which binds the principal debtor. (*Talbott v. Hustwit* (2008) 164 Cal.App.4th 148, 151.) To establish liability for breach of a written guaranty, the elements for a breach of contract must be demonstrated.

Merits. Plaintiff submits the motion on the Declaration of Veronica Escobar, a Special Credits Analyst I, with a corporate title of Associate. Escobar demonstrates that as part of her duties, she is an employee responsible for managing loans for Local European. She has access to Plaintiff's business records, including computerized records. Escobar establishes the foundation for admission of business records and sufficient foundation to testify to amounts owed on the loans and guaranties at issue. (Escobar Decl. ¶¶ 1-2.)

As for Escobar's testimony, it supports statements related to the loan agreements, guaranties, defaults, and demands. (Escobar Decl. ¶¶ 3-18 and Exhs. 1-9.)

As for the amount owed on Loan 1, UFs 11 and 28 state \$103,848.41 is owed, with \$2,640.92 in accrued interest, and \$198.27 in late charges and fees as of June 16, 2025. But in reviewing the account transaction history (Escobar Exh. 3), it is unclear how the interest amount was determined. In terms of what is owed, Escobar's declaration states: "Exhibit 3 reflects the payments made on the Contract 1 [Loan 1]. As of June 16, 2025, as stated in the Complaint, Chase is owed the principal balance of \$103,848.41, accrued interest of \$2,640.92, plus late fees and costs of \$198.27 for a total of \$106,687.60." (Escobar Decl. ¶ 6.) But the Complaint is not evidence. The Court surmises the amount is owed given on Exhibit 3 it show \$6,774.09 in accrued interest as of November 7, 2025, it is unclear how the \$2,640.92 figure was calculated. If Plaintiff's counsel can explain this, then the amount owed on Loan 1 is supported. Otherwise, it is unsupported.

As for the amount owed on Loan 2, UFs 41 and 61 state \$252,431.19 is owed, with \$9,700.96 in accrued interest, and \$1,067.95 in late charges and fees as of June 16, 2025. But in reviewing the account transaction history (Escobar Exh. 8), it is unclear how the interest amount was determined. Escobar's declaration states: "Exhibit 8 reflects the payments made on the Contract 2 [Loan 2]. As of June 16, 2025, as stated in the Complaint, Chase is owed the principal

balance of \$252,431.19 (\$122,709.22 + \$129,721.97), accrued interest of \$9,700.96, plus late fees and costs of \$1,067.95 for a total of \$263,200.10.” (Escobar Decl. ¶ 14.) Again, the Complaint is not evidence. It is likely this amount is owed given Exhibit 8 shows \$19,984.70 in interest charge off as of December 10, 2025. The issue, however, is that it is unclear how the \$9,700.96 figure was calculated as owed as of June 16, 2025. If Plaintiff’s counsel can explain this, then the amount owed on Loan 2 is supported.

Plaintiff also submits the declaration of its counsel in support of the amount of attorney fees and costs due. (Partington Decl. ¶¶ 1-2.)

In UFs 1-66, Plaintiff will meet its initial burden in support of the loans, defaults, guaranties, and amounts owed if the amount of interest owed on Loans 1 and 2 as of June 16, 2025 can be explained.

#### RULING

The Court continues the hearing on this motion to September 4, 2026 at 830 a.m. in Dept. S37 to give counsel an opportunity to submit supplemental declaration in support of the accrued interest sought as of June 16, 2025. The due date to submit evidence explaining the interest shall be due on or before August 21, 2026.